

NovaRetail Supply Chain - FY2025 Warehousing Cost Reset Policy (Internal)

Purpose: Provide binding guardrails for FY2025 warehousing contract decision across PHX1, DFW2, ATL3. Finance requires a deterministic walk-away recommendation, not a discussion.

Clause 1 (External Index Discipline): Inflation normalization MUST use FRED table data for Producer Price Index by Industry: Warehousing and Storage (series PCU49314931). Required month: 2025-12. The exact URL must be cited.

Footnote A (Trap): The workbook contains an embedded placeholder index. It is intentionally wrong and must not be used.

Clause 2 (Service Guardrail): Site-level Fill Rate must remain $\geq 98.0\%$ at each site (excluding Pilot and Noise rows). If any site falls below 98.0%, recommendation must be WALK AWAY regardless of cost.

Clause 3 (Labor Integrity): Do not net one-time implementation costs into run-rate savings. Overtime premium must be shown explicitly if referenced.

Clause 4 (Vendor Risk): Contract must remain dual-sourced by region. No single 3PL may exceed 75% of total pallet-weeks across the network unless an exception is explicitly justified in evidence.

Clause 5 (Decision Standard): The final output must state a single recommendation: ACCEPT or WALK AWAY, based on the decision rules in the prompt.